

04 Financial products & customer needs

6 primary questions | Oldest to newest

2026 objectives: 1.2.2-1.2.4

5 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 April 2009 Q2	7 marks
CA1-P2 September 2012 Q6	27 marks
CA1-P2 April 2013 Q7	20 marks
CA1-P2 April 2015 Q1	5 marks
CA1-P2 September 2018 spare Q5	19 marks
CP1-P2 April 2023 Q2	50 marks

CA1-P2 | April 2009 | Q2

Current topic | 7 marks total | Original PDF p2

Related: Ch 6, Ch 26.

- 2** An individual intends to take out a 25-year mortgage of £60,000 to finance the purchase of a new home. The individual is considering the following policies:
- (a) Income protection policy: The policy will provide an income of 60% of gross earnings in the event that the insured is unable to work due to illness or accidental injury. The income commences three months after the event.
 - (b) A regular premium 25-year unit-linked endowment assurance with a sum assured of £60,000 payable in the event of critical illness or death.
 - (c) A regular premium 25-year term assurance with a sum assured of £60,000 on death together with a waiver of premium on ill health.

Discuss the risks avoided by the individual with each of the insurance policies. [7]

CA1-P2 | September 2012 | Q6

Current topic | 27 marks total | Original PDF p4

Related: Ch 6, Ch 9, Ch 26.

- 6** An individual aged 35 is considering the following options as ways of providing for his retirement needs:

Option A:

Take out a 30-year regular premium with profit endowment assurance policy.

Option B:

Take out a personal loan repayable over 30 years. The loan will be used to buy a residential property that the individual will rent out to tenants. The rental income will be used to make the capital and interest repayments on the loan. After 30 years, the individual will use the property as an asset to provide retirement benefits.

Option C:

Take out a series of without profit, deferred annuities each of which will come into payment at age 65. Every year, for 30 years, the individual will pay a single premium to secure a guaranteed prospective pension based on prevailing premium rates.

Discuss the relative merits of each option in terms of:

- | | | |
|-------|---|-----|
| (i) | likely tax treatment of benefits and contributions | [4] |
| (ii) | protection of benefits relative to inflation | [5] |
| (iii) | expenses and administrative complications | [4] |
| (iv) | potential benefits on death before retirement | [4] |
| (v) | potential flexibility if the individual wishes to retire early | [5] |
| (vi) | suitability of the nature of the benefits available on retirement | [5] |

[Total 27]

CA1-P2 | April 2013 | Q7

Current topic | 20 marks total | Original PDF p4

Related: Ch 1, Ch 29.

- 7** An internationally famous rock musician has had a long and successful career. The musician receives substantial income: royalties from his previous work; sales of new material; and regular large-scale global tours.

A management company looks after all the business and financial affairs of the musician. This company has been associated with the musician for many years. However, over that period it has changed ownership several times and the people directly responsible for dealing with the musician have also changed many times.

The musician is concerned that he is not receiving an appropriate service from the management company. In particular, he is worried that his revenues are not being managed effectively in accordance with his needs. The musician has asked for independent financial advice.

- (i) Outline the specific insurance and savings requirements which may be appropriate to protect the business and financial affairs of the musician. You do not need to consider particular investment vehicles or asset classes. [5]
- (ii) Discuss the major issues the independent financial adviser would need to investigate in order to assess the efficiency and adequacy of the arrangements set up by the management company. [10]

The musician is considering raising cash by selling the income from future royalties to investors in the capital markets.

- (iii) (a) Explain how the musician could sell this income.
 - (b) Outline the details of this income that will need to be defined. [5]
- [Total 20]

CA1-P2 | April 2015 | Q1

[Current topic](#) | [5 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1** Outline reasons why an individual may purchase life insurance that is not the most appropriate for their needs. [5]

CA1-P2 | September 2018 spare | Q5

Current topic | 19 marks total | Original PDF p3

2018 spare paper (X18), distinct from the September main sitting. Original paper and matching spare examiner report restored from the supplied archive. Related: Ch 14, Ch 26.

- 5** A financial institution wants to set up a new savings product for the retail market. Individuals will be able to invest a lump sum when they join and will only be able to withdraw it at the end of 10 years, tax-free. The individuals can choose to invest the lump sum in one or more of the following funds:

- A – an index-tracking fund, following the performance of the top 100 companies in the country;
- B – a hedge fund specialising in small overseas companies;
- C – a fund in index-linked government bonds.

(i) Describe the characteristics of each of the funds. [6]

(ii) Suggest the types of individuals that the institution could target this product at. [2]

(iii) Suggest why each of the funds might be suitable for the individual investors identified in part (ii). [6]

To boost sales, the marketing director has suggested offering a ‘Value for Money’ guarantee, where the final payment the policyholder will receive at the end of ten years is at least equal to the lump sum initially invested.

(iv) Discuss the risks the financial institution might face in offering this guarantee. [5]
[Total 19]

CP1-P2 | April 2023 | Q2

Current topic | 50 marks total | Original PDF p3

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 2, Ch 23, Ch 3, Ch 14, Ch 22.

- 2** A developed country has an established and sophisticated insurance market. Insurance companies use advanced pricing and underwriting approaches when writing their business. Many insurance companies operate in the country. A wide range of products are available to individuals and businesses.

The government of the country is concerned that it is becoming more difficult for people living in relative poverty to access or afford the insurance products they need. The government is conducting research to find out why this is the case and what actions can be taken to ensure people living in relative poverty can access and afford insurance products.

An insurance company operating in this country offers a wide range of products. It has recently rebranded and is now operating as an ethical insurance company. It is introducing new ethical principles to the way it operates, the products it offers and the investments it holds. The insurance company is keen to work with the government on providing more affordable products.

- (i) List six types of insurance products an individual may need to purchase. [3]
- (ii) Discuss why the cost of insurance may be more expensive for those living in relative poverty. [11]
- (iii) Explain why the government may be concerned about citizens living in relative poverty finding it difficult to access and afford the insurance they need. [6]
- (iv) Describe the actions that the government could take to enable these citizens to access and afford insurance. [11]
- (v) Discuss possible ways an insurance company could ensure the products it offers are ethical. [8]
- (vi) Discuss how rebranding as an ethical company will affect the investments the insurance company holds. [7]
- (vii) Suggest how the ethical insurance company could provide insurance products to help those living in poverty to access the insurance they need. [4]

[Total 50]